

Weekly Market View

Investor froth scaled back, but not eliminated

→ Last week, we flagged extremely stretched investor positioning, following a two-month rally in AI-related sectors, as a near-term risk for equities. Hawkish Fed rate expectations after another solid US jobs report and renewed Middle East clashes triggered a pullback in risk assets this week.

→ We remain cautious near term as bullish US equity positioning remains elevated, despite the recent reversal.

→ We would continue to avoid concentration in our portfolios, preferring the equal-weighted Developed Market equity index in the near-term and diversification in the tech sector across semiconductors, hardware, internet, and software.

→ Meanwhile, we are pushing back our Fed rate cut expectations to next year and tactically shortening USD bond duration to 3-5 years.

→ We also believe the ongoing pullback in gold is an opportunity for long-term investors to add exposure.

Tactically bullish on Hang Seng tech index: policy tailwinds

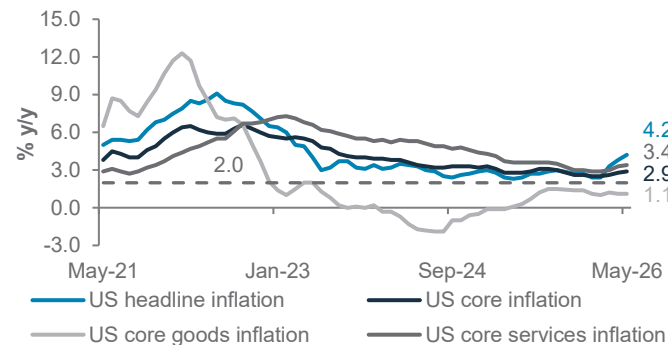
Shortening USD bond maturities: expect steeper yield curve

Opportunity to reduce USD/CHF exposure: renewed safe-haven demand for CHF

Charts of the week: Hot headline, cool core

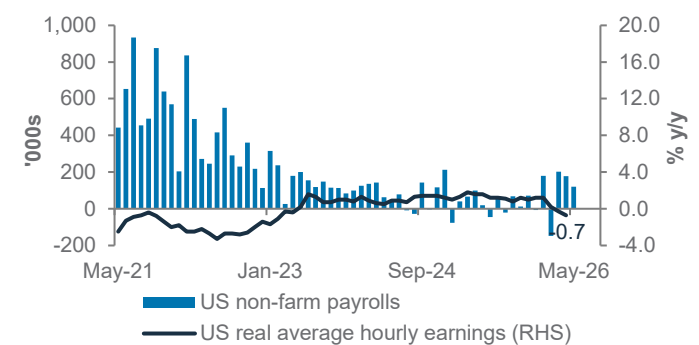
Surging energy costs were responsible for higher US inflation in May, but underlying inflation and wages remain subdued

US headline, core, core goods and core services inflation



Source: Bloomberg, Standard Chartered

US non-farm payrolls, real average weekly earnings growth



Editorial

Investor froth scaled back, not eliminated

Strategy summary: Last week, we flagged extremely stretched investor positioning, following a two-month rally in AI-related sectors, as a near-term risk for equities. Hawkish Fed rate expectations after another solid US jobs report and renewed Middle East clashes triggered a pullback in risk assets. We remain cautious near term as bullish US equity positioning remains elevated, despite the recent reversal.

We would continue to avoid concentration in our portfolios, preferring the equal-weighted Developed Market equity index in the near-term and diversification in the tech sector across semiconductors, hardware, internet, and software. Meanwhile, we are pushing back our Fed rate cut expectations to next year and tactically shortening USD bond duration to 3-5 years. We also believe the ongoing pullback in gold is an opportunity for long-term investors to add exposure (see page 7).

Strong US jobs data, resumption of Middle East conflict trigger market pullback. Last week, we flagged in this column the following risk: *“Proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook... Extremely stretched investor positioning in US equities raises the risk of a pullback. Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.”* As it turned out, a hawkish repricing of Fed rate expectations following a solid US payrolls report and renewed Middle East hostilities acted as catalysts for an equity market pullback.

Investor froth scaled back, but not eliminated. Even after this week's pullback, US equity investor positioning remains around 1.13 standard deviation above its long-term average, from ~2.0 a week ago. History shows the S&P500 index has typically bottomed when positioning has fallen back to -0.5-0.5. This implies we are around halfway through the positioning unwind. Our 'fear and greed' indicator has normalised after surging close to 'extreme greed' levels in May, but the put-call

ratio component remains in 'greed' territory. We would continue to reduce concentration risks in equities and take advantage of elevated volatility through structured strategies.

Tactically shortening USD bond duration to 3-5 years.

Middle East uncertainties, despite President Trump's latest comment signalling an imminent deal, could delay the normalisation of shipping through the Hormuz strait during peak summer demand season. This would leave oil prices potentially elevated for longer. Meanwhile, the US job market has picked up over the past three months. This evolving backdrop is likely to embolden the hawkish members of the Fed to convince new Fed Chair Warsh to drop references to any rate cuts from its post-meeting statement next week. We now expect the Fed to hold rates for the rest of the year. Given this, we would tactically shorten bond duration, focussing on 3-5-year maturities.

Pushing back our Fed rate cut expectations to next year.

The US inflation report for May showed that gasoline prices primarily drove the latest acceleration in headline inflation to a three-year high. However, there has been limited passthrough to underlying inflation so far. Meanwhile, US wage pressures continue to ease (see chart above). This leads us to believe that, if oil remains below USD 120/bbl, the oil price-driven headline inflation is likely to peak in Q2 this year, before subsiding gradually over the next 12 months. Such a trajectory should allow the Fed to cut rates by the middle of next year, especially if the ongoing oil shock hurts US growth with a lag.

ECB one and done? The ECB unanimously raised its deposit rate by 25bps to 2.25%, a widely anticipated move. President Lagarde highlighted growing concerns over energy-driven inflation but did not commit to future hikes, stating decisions will be made on a meeting-by-meeting basis. The ECB raised its inflation forecasts, with the 2% target not expected until 2028, but cut its growth estimates for 2026-27. As economic data weakens and wage growth lags behind inflation, we expect the ECB to pause. Our base case expects the June move to be the final hike of the cycle, barring major shocks in energy markets.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near term

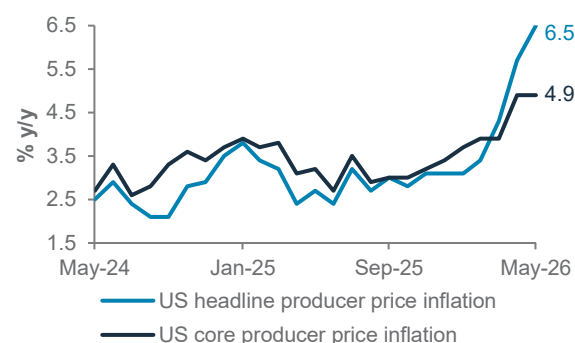
(+) factors: Subdued US core inflation, wages; strong China exports

(-) factors: Mostly hawkish central banks, geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US core consumer prices rose 0.2% m/m, and core producer prices rose 4.9% y/y, both below estimates - US average hourly earnings growth continued to slow, indicating subdued wage pressures - Euro area Sentix investor confidence came in above estimates in June - China exports grew 19.4% y/y in May, beat estimates - China consumer prices grew 1.2% y/y in May, below expectations	- US non-farm payrolls rose more than expected in May, fuelling Fed rate hike expectations - US NFIB small business optimism index fell unexpectedly to 95.3 in May - US headline consumer prices grew 4.2% in May, the highest since April 2023, in line with expectations - US producer prices rose more than expected by 6.5% in May
	Our assessment: Neutral – Strong US payrolls fuelling rate hike expectations vs. softer-than-expected core inflation	
Policy developments	ECB delivered a widely expected 25bps rate hike; President Lagarde declined to commit on the prospect of further hikes, saying decisions will be made meeting-by-meeting	- Bank of Canada held rate unchanged at 2.25% as expected, citing rising inflation is a dilemma for monetary policy - RBI kept policy rate unchanged at 5.25%, as expected; it warned future hikes are on the table
	Our assessment: Negative – Mostly hawkish central banks	
Other developments	President Trump said Iran deal is close and cancelled new strikes against Iran after second day of US strikes	- The US Pentagon has added additional Chinese firms as military-linked - Trump signalled no intention to renew USMCA trade deal
	Our assessment: Neutral – Elevated geopolitical tensions	

US headline producer prices rose by 6.5% y/y in May, marking the highest level since November 2022, while core producer price inflation came in below expectations

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

Euro area Sentix investor confidence beat expectations in June, though pessimism persists

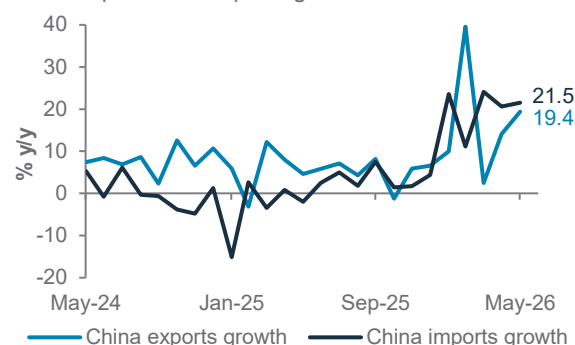
Euro area Sentix investor confidence index



Source: Bloomberg, Standard Chartered

China exports sustained solid growth in May, despite trade uncertainties

China exports and imports growth



Source: Bloomberg, Standard Chartered

Top client questions

Q What are the implications of the latest US non-farm payrolls and inflation data for the Fed's rate path? Which part of the US bond yield curve should investors position in?

Our view: *Elevated inflation should keep the Fed on hold through 2026. A pushback on rate hikes could drive bond yield curve steepening; hence, we are shortening our USD bond duration to 3-5 years.*

Rationale: While May headline US consumer price index (CPI) inflation remained elevated, core CPI came in below expectations, alleviating energy cost pass-through fears. Although the core personal consumption expenditures (PCE) inflation gauge remains above the Fed's 2% target, **broadener inflationary pressures are easing**, with energy inflation likely peaking in Q2 2026 alongside slowing wage growth and AI-driven layoffs. Softer data should provide Fed Chair Warsh room to **hold rates steady** at the 16-17 June Federal Open Market Committee (FOMC) meeting.

While we anticipate a hawkish post-meeting statement to manage market expectations, the bar for tightening remains high. Contrary to current market pricing of one additional hike, **we expect the Fed to remain on hold through year-end 2026**. We expect the US bond yield curve to steepen as markets pause or pare back rate hike expectations, while long-term fiscal pressures and inflation concerns keep longer-term yields elevated. Given this combination, we prefer **to shorten our USD bond duration to 3-5-year maturities** to capture income carry without overextending interest-rate risk.

— **Cedric Lam**, Senior Investment Strategist

Q What is your outlook for EUR/USD after the ECB's 11 June policy meeting?

Our view: *We expect EUR/USD to trade within the 1.1410-1.1640 range, but with a bearish bias in the near term and risks skewed towards further downside.*

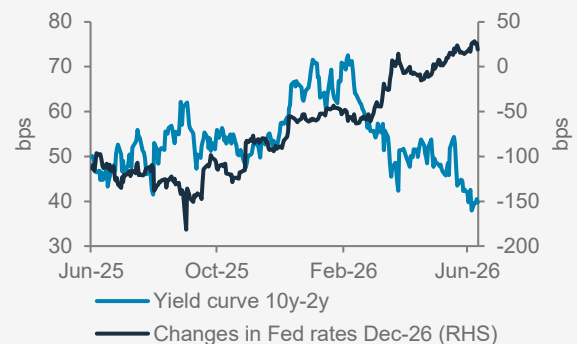
Rationale: The Euro area is experiencing a 'stagflationary' risk – **growth is below expectations**, especially in Germany and France, while **inflation is above target** and surprising to the upside. The Middle East conflict-driven energy shock is the primary driver.

Despite the weakening macro picture, markets appear overly **hawkish** on the ECB's policy path, currently pricing in two more rate hikes by 2027. We view this hawkish positioning as overstretched. ECB President Lagarde warned **inflation triggered by the Middle East conflict is widening beyond just energy**. However, she refused to commit to further hikes. EUR/USD's near-term ranges are expected to hold as markets digest the ECB rate decision.

— **Iris Yuen**, Investment Strategist

US government bond yield curve has flattened since March amid surging rate-hike expectations. A reversal towards steepening is possible if anticipated rate hikes are pushed back

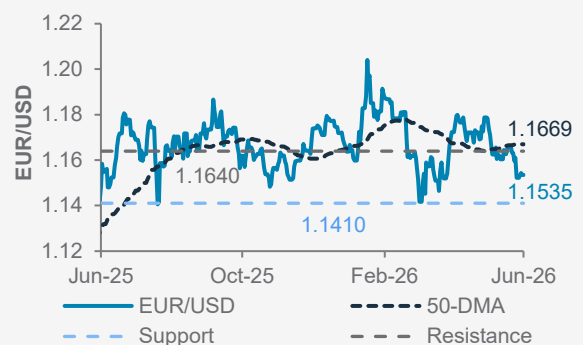
US 10Y and 2Y government bond yield differentials, changes in Fed funds future rates for December 2026



Source: Bloomberg, Standard Chartered

EUR/USD's near-term ranges are expected to hold

EUR/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What do you think of China's plan to increase investment in data centres over the next five years?

Our view: *We maintain the Hang Seng Tech Index (HSTECH) as an Opportunistic idea, supported by policy tailwinds.*

Rationale: Media reports suggest China plans **c.CNY 2trn (c.USD 295bn)** of investment over the next five years in a nationwide data centre buildout, with key agencies reportedly drafting a blueprint for a network of interconnected computing hubs. The initiative should act as a **key catalyst** for the technology and communication services sectors. State-owned telecom operators are likely to anchor the buildout. A reported **80% domestic technology sourcing requirement** positions local semiconductor and hardware providers as primary beneficiaries, reinforcing China's technological self-sufficiency push amid ongoing export restrictions. The buildout has positive spillovers for **utilities**, given China's relatively abundant, stable electricity supply, providing it a structural advantage vs. global peers facing high energy costs and supply risks.

Overall, the initiative aligns with **China's tech sovereignty agenda** under the 15th Five-year Plan. While the trade has faced headwinds recently, driven by intensifying competition and a valuation reset after an outsized prior rally, **we continue to favour HSTECH**, given its direct leverage to policy-backed infrastructure spending and the structural re-rating potential of domestically oriented tech players.

— **Michelle Kam, CFA, Investment Strategist**

Q USD/CHF has recovered towards 0.80. Do you see further upside?

Our view: *USD/CHF's recent recovery looks more tactical than structural. We see the pair remaining rangebound within 0.7860-0.8090 over the next few weeks, with risks skewed to the downside, providing a timely opportunity to reduce USD/CHF exposure.*

Rationale: The 'USD resilience' narrative continues to lend **near-term support to USD/CHF** amid sticky US inflation and resilient labour data, which have forced markets to pare back aggressive Fed rate-cut expectations. This has kept **front-end USD rates firm** and the **USD Index (DXY) largely hovering around 100**. Meanwhile, the Swiss National Bank's (SNB's) position at the zero lower bound anchors a floor under the rate differential.

However, the **downside drivers look more durable**. Persistent geopolitical risks and Switzerland's structural current account surplus underpin **safe-haven CHF demand**. The SNB's reaction function remains asymmetric, capping sustained USD/CHF rallies.

— **Iris Yuen, Investment Strategist**

Hang Seng Tech Index has room for further valuation re-rating

12-month forward P/E of the Hang Seng Tech Index



Source: Bloomberg, Standard Chartered

USD/CHF upside is likely rangebound between 0.7860 and 0.8090

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q India's year-to-date (YTD) equity outflows have exceeded last year's total. Can the Reserve Bank of India's (RBI's) measures to attract foreign capital stem this trend? What are the key investment opportunities?

Our view: The RBI's measures signal stability for USD/INR. Foreign portfolio debt flows should increase, but the direct impact on foreign equity inflows is likely to be limited. We expect an improving earnings outlook to support Indian equities and prefer large-cap Indian equities for a greater margin of safety.

Rationale: Several consequential measures are set to drive **foreign portfolio investor (FPI) debt flows**. These include the removal/exemption of long-term capital gains tax, the elimination of withholding tax on interest income from investment in government securities and the addition of more tenors under the Fully Accessible Route (FAR). These policy shifts are also anticipated to drive the **inclusion of Indian sovereign bonds in other indices**, such as the Bloomberg Aggregate index.

The RBI's recent measures should help **long-end government bond demand**, given increased demand, easing inflation expectations and balance of payments pressures. Liquidity should bring short-end down, driving a **near-term yield curve steepening**.

On the equities front, non-resident Indians, persons of Indian origin and overseas citizens of India are now allowed to invest directly in equity markets with higher limits. This will allow **more overseas Indian money to flow into Indian equities**. However, the USD inflows anticipated through this measure are much lower than the inflows expected through measures around foreign currency non-resident deposit support, external commercial borrowings support for public sector undertakings, tax incentives for FPIs on debt investments and FAR expansion. This is a **positive measure for boosting foreign investor confidence** and is expected to improve incremental participation gradually. For equities, valuations and earnings growth are the key drivers. The next few quarters' earnings re-acceleration or downward revision will guide equity flows more.

The **duration of the Middle East conflict** is a key factor for earnings growth. If **AI fatigue** plays out, India would enjoy an added advantage alongside an attractive Indian rupee valuation. Data suggests that FPIs have been selectively increasing exposure towards sectors such as **industrials, metals and mining**. While FPI ownership has fallen since 2022, the number of stocks with greater than 1% FPI holding has surged during the same period, indicating **broad-based foreign ownership** following segments of earnings growth.

— **Shaily Gang**, Chief Investment Strategist, India

Foreign portfolio investment share of equity sectors in India

Foreign portfolios have been rotating towards the industrials and metals and mining sectors in India

Sectors	Portfolio Share		
	Apr-26	Apr-25	Change
Financials	30.1%	31.9%	-1.8%
Oil & Gas	7.7%	7.3%	0.4%
Industrials	7.5%	5.0%	2.5%
Auto & Ancillary	7.4%	6.8%	0.6%
Healthcare	6.8%	6.8%	0.0%
Service	5.8%	6.2%	-0.4%
IT	5.7%	8.2%	-2.5%
Telecom & Media	5.4%	5.0%	0.4%
FMCG	4.8%	5.6%	-0.8%
Utilities	4.3%	3.7%	0.6%
Metals & Mining	4.0%	2.7%	1.3%
Construction Material	3.4%	3.3%	0.1%
Durables	2.6%	2.8%	-0.2%
Agriculture & Chemicals	1.8%	1.8%	0.0%
Realty	1.6%	2.0%	-0.4%
Others	1.0%	0.8%	0.2%

Source: NSDL, MACM Research

Top client questions (cont'd)

Q Gold has broken below its 200-day moving average (DMA). Does this weaken the structural investment case for gold?

Our view: We view the recent weakness as an opportunity rather than a turning point, as the structural case for gold – underpinned by sustained central bank buying – remains intact. We would add on further weakness, while remaining constructive on gold over the medium term.

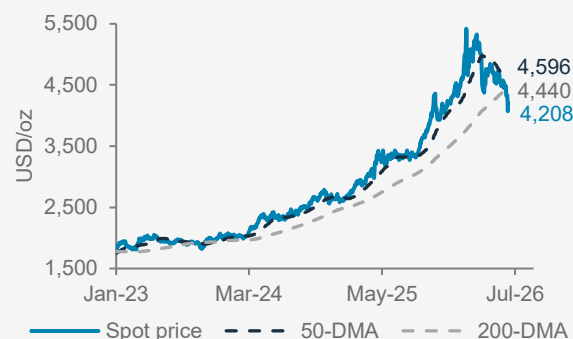
Rationale: Gold's break below its 200DMA – a key technical support level that had held since October 2023 – weakens near-term momentum. The next major support zone lies between **USD 3,950 and USD 4,100/oz**, which could provide a base for price stabilisation. The pullback reflects **renewed sensitivity to traditional macro drivers**, particularly US real yields and the USD. Gold's three-month correlation with ten-year real yields has strengthened to -37% from near zero, while its correlation with the DXY has deepened to -57% from -19%, suggesting rates and FX are once again driving price action. **Stronger-than-expected US jobs data** lifted US bond yields, strengthening the USD and scaling back Fed easing hopes.

Near-term headwinds may persist as higher real yields, a firmer USD and seasonally softer physical demand weigh on sentiment. However, our **medium-term view remains constructive**. Central banks remain net buyers, while current **fiscal and geopolitical risks** should underpin portfolio diversification demand. We, therefore, view further weakness as an opportunity to accumulate positions, rather than a signal that the longer-term investment case has deteriorated.

— **Anthony Naab, CFA**, Investment Strategist

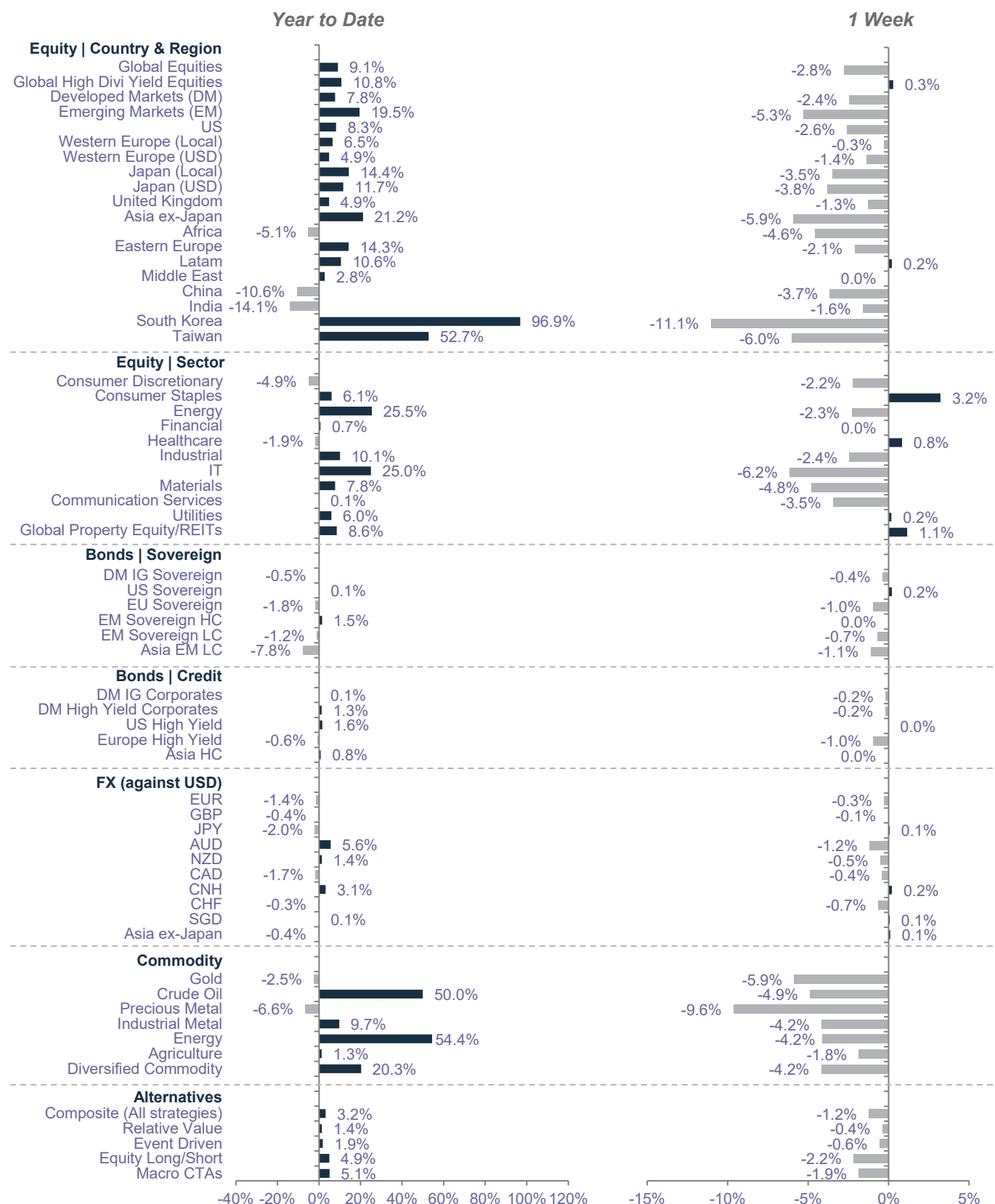
Gold's technical backdrop has softened, but longer-term support level remains in focus

Spot gold and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 11 June 2026; 1-week period: 4 June 2026 to 11 June 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ◆	Europe ex-UK Financials ▲
Japan ◆	China Communication ▲
Other EM ◆	China Technology ▲
	China Healthcare ▲
Bonds ◆	
	Govt
	Govt EM Local ▲
	Govt DM IG ▼
Credit	Alternatives ◆
Asia USD ◆	
Corp DM HY ◆	
Govt EM USD ▲	
Corp DM IG ◆	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,598

Technical indicators for key markets as of 11 Jun close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,394	7,214	7,598	20.4	1.2
STOXX 50	6,057	5,830	6,217	15.1	3.2
FTSE 100	10,304	10,102	10,531	12.6	3.6
TOPIX	3,830	3,725	3,976	16.5	2.4
Shanghai Comp	3,987	3,857	4,188	13.4	3.0
Hang Seng	24,249	23,218	26,063	10.4	3.5
Nifty 50	23,162	22,791	23,811	17.8	1.9
MSCI Asia ex-Japan	1,099	1,047	1,175	11.9	2.1
MSCI EM	1,665	1,592	1,768	11.3	2.5
Crude oil (WTI)	87.7	79.1	102.9	na	na
Gold	4,212	3,900	4,649	na	na
UST 10Y Yield	4.46	4.35	4.63	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event	Period Expected	Prior
MON			
	JPY BOJ Target Rate	16-Jun	1.0% 0.8%
	CNH Retail Sales y/y	May	0.0% 0.2%
	CNH Industrial Production y/y	May	4.3% 4.1%
TUE	CNH Fixed Assets Ex Rural YTD y/y	May	-2.3% -1.6%
	CNH Property Investment YTD y/y	May	-14.0% -13.7%
	AUD RBA Cash Rate Target	16-Jun	4.4% 4.4%
	EUR ZEW Survey Expectations	Jun	— -10.2
WED	EUR ZEW Survey Current Situation	Jun	— -77.8
	USD Retail Sales Control Group	May	— 0.5%
THU	USD FOMC Rate Decision (Upper Bound)	17-Jun	3.8% 3.8%
	GBP Bank of England Bank Rate	18-Jun	— 3.8%
	USD Initial Jobless Claims	13-Jun	— —
	USD Philadelphia Fed Business Outlook	Jun	— -0.4
FRI SAT	USD Continuing Claims	6-Jun	— —
	USD Leading Index	May	— 0.1%
	JPY BOJ Minutes of April Meeting	19-Jun	— —

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 11 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.79
Global Equities	●	↓	1.40
Gold	●	↓	1.35
Equity			
MSCI US	●	↓	1.37
MSCI Europe	●	↓	1.62
MSCI AC AXJ	●	↓	1.49
Fixed Income			
DM Corp Bond	●	↓	1.65
DM High Yield	●	↓	1.54
EM USD	●	↓	1.66
EM Local	●	↑	1.93
Asia USD	●	↓	1.83
Currencies			
EUR/USD	●	↑	1.77

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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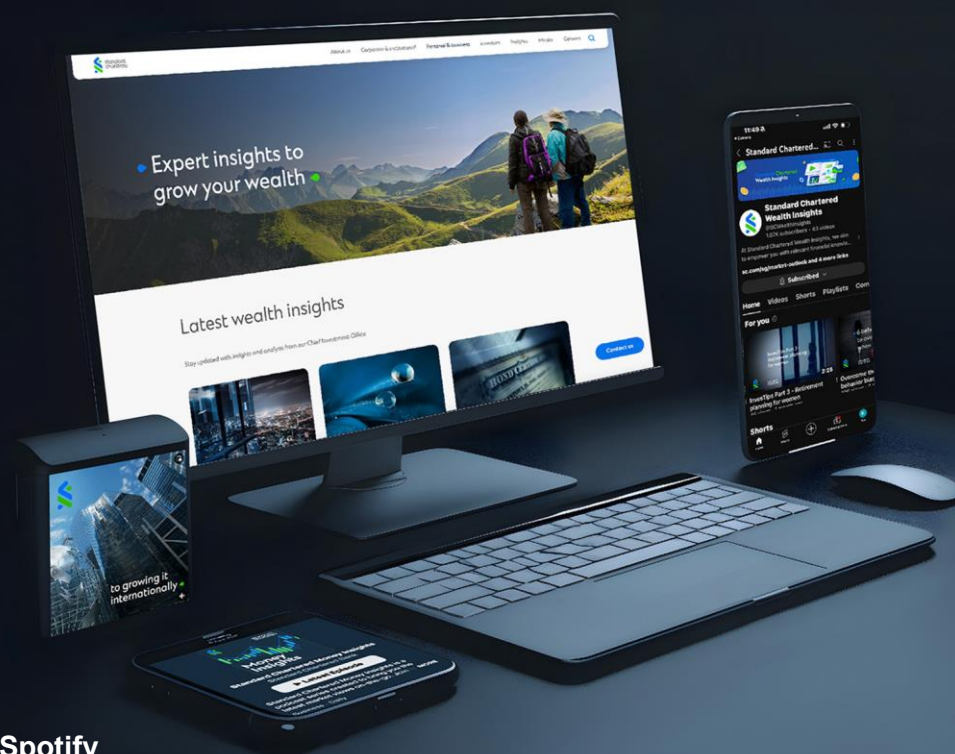
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Weekly Market View

Resilient fundamentals meet investor froth

→ US forward earnings estimates have been upgraded across sectors in Q2, providing a strong fundamental backdrop to the equity rally.

→ However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

→ Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a short-term pullback.

→ Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

→ The ECB is expected to deliver a 25bps "insurance" hike next week. However, weaker growth indicators since the start of the East conflict argues against follow-up rate hikes.

Within tech, rotate from semiconductors to internet on stretched positioning

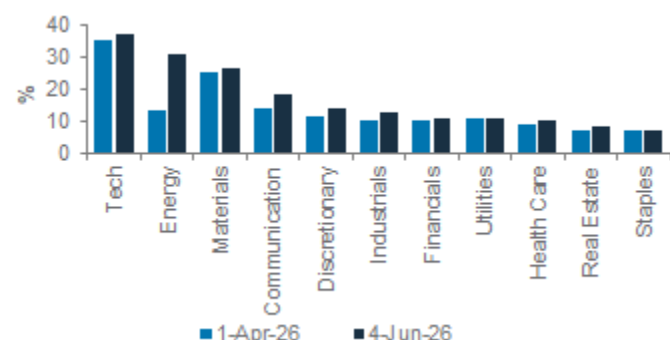
Rangebound EUR/USD: ECB to deliver one insurance hike, then pause

Accumulating gold on dips: continued central bank reserve diversification

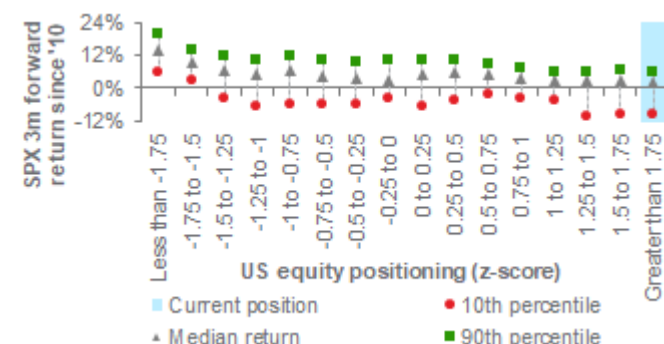
Charts of the week: Strong earnings vs. stretched positioning

Earnings upgrades support the equity rally over the medium term, but stretched investor positioning raises near-term risk

US consensus 12m forward earnings estimates across sectors



US equity positioning and historical S&P500 index returns*



Source: Bloomberg, Standard Chartered, Vanda Research; *highlighted segment reflects current US combined equity market positioning

Editorial

Resilient fundamentals meet investor froth

Strategy summary: US forward earnings estimates have been upgraded across sectors in Q2 providing a strong fundamental backdrop to the equity rally. However, proposed new US tariff threats, major IPOs and investor froth in pockets of the market add to Mideast tensions, clouding the near-term outlook.

Against this backdrop, we stay diversified as extremely stretched investor positioning in US equities raises the risk of a pullback. Besides the outcome of US-Iran talks, US payrolls and inflation data are next catalysts. Another month of strong payrolls and acceleration in inflation would likely shift the stance of more Fed policymakers from broadly neutral to hawkish.

Avoiding concentration risks in equities and tech. Global equities scaled record highs this week, despite renewed Middle East tensions and US proposal to impose 10-12.5% tariffs against trade partners. The AI supercycle continues to drive risk appetite as the consensus lifts AI capex assumptions and AI-related price targets. Our AI capex upgrade in April was a measured 5-10ppts amid concerns including funding constraints – witness the latest surge in debt issuance and IPOs – and execution bottlenecks around power and infrastructure.

We remain long-term bullish on the AI supercycle but short-term cautious, given extremely stretched investor positioning, which raises the risk of a 5-10% pullback. We prefer the equal-weighted global equity index in the near-term and diversification in the tech sector from AI-enablers such as semiconductors and hardware to AI adopters, such as internet and software.

Trillion-dollar IPOs to strain near-term liquidity. Three major upcoming trillion-dollar IPOs – SpaceX, OpenAI, and Anthropic – are expected to reshape index weights and market liquidity. Index providers are fast-tracking inclusion rules. Near-term liquidity impact is estimated at USD 140-280bn. This argues for reducing concentration risk and bracing for volatility.

The ECB expected to deliver a 25bps “insurance” hike next week. Euro area headline inflation rose to 3.2% in May, strengthening the case for a hike in June, but core inflation was

relatively subdued at 2.5%. Weaker growth – reflected in negative economic surprises readings, contracting PMIs and slump in consumer confidence and retail sales since the Middle East conflict started – argues against rapid follow-up rate hikes. A prolonged Strait of Hormuz closure could force further action though. Against this backdrop, EUR/USD is likely to trade within the 1.15-1.18 range, with volatility at its lowest since 2020.

The Fed’s Beige Book signalled slight-to-moderate growth across ten of twelve districts, with improving momentum despite the energy shock. Manufacturing strengthened in nine districts, boosted by defence and data centre demand. Consumer sentiment stayed mixed, maintaining the wide gap between low- and high-income households, with rising credit card use and weaker discretionary outlays. Labour markets remained in a “low-hiring, low-firing” mode, which was also reflected in the JOLTS job openings report. Prices rose moderate-to-strong, pressured by energy spillovers, compressing margins.

US payrolls, inflation data are next macro catalysts: Latest US activity data and subdued jobless claims suggest US payrolls for May are likely to post another month of solid gains (consensus: 88,000), potentially pushing the jobless rate down. However, beneath the job market’s resilience, real disposable incomes are falling and the savings rate has dropped below 3%, close to the lowest in recorded history, signalling stress among households amid rising energy costs. Given these conflicting pressures, we expect the Fed to stay on hold for now.

Avoid duration risk in bonds, stay with 5-7-year maturities. A solid US payrolls data, followed by any further acceleration in inflation (consensus for core CPI: 0.3% m/m) would strengthen the hawks in the Fed policymaking committee. US government bonds face tension between firm economic data and inflation and fiscal policy risks and crowded short positioning. We continue to prefer 5-7-year maturities in our bond allocations, while hedging inflation risks with inflation-protected bonds. We continue to see value in AUD bonds, given RBA rate hikes have been largely priced, and our constructive view on AUD.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

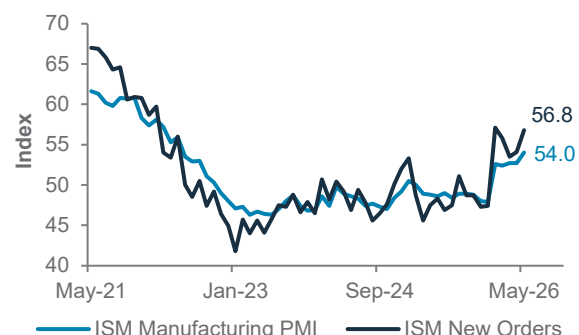
(+) factors: Strong business confidence indicators in the US and China; US-Iran truce optimism

(-) factors: US-Iran, Lebanon ceasefires strained; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	- US Chicago PMI jumped to 62.7 in May from 49.2, well above the 50.5 consensus - US ISM manufacturing PMI rose to 54.0 in May from 52.7, above 53.0 expected - China non-manufacturing PMI rose to 50.1 in May from 49.4; manufacturing PMI slowed to 50.0 - US private sector employment (ADP) increased 122,000 in May, above consensus	- US JOLTS job openings jumped to 7.6mn in April from 6.9mn, signalling labour market tightness - Euro area core CPI rose to 2.5% y/y from 2.2%, above 2.4% expected; headline CPI accelerated to 3.2% y/y from 3.0% - Euro area unemployment rate held at 6.3%, above the 6.2% consensus - Euro area retail sales fell 0.4% m/m (annual growth slowed to 1% y/y) in April
	Our assessment: Neutral – Activity data in the US and China were resilient, but Euro area inflation accelerated	
Policy developments	Fed's Williams signalled rates on hold amid inflation risks	- Fed's Hammack and Logan signalled hawkishness, keeping focus on inflation vigilance - BoJ's Ueda and BoE's Mann signalled hawkish stance
	Our assessment: Negative – Hawkish central banks bias	
Other developments	U.S.-Iran alongside Israel-Lebanon ceasefire/talks optimism improved sentiment	- US and Iran renewed clashes, putting strain on truce - China's crackdown on offshore brokerages weigh on China-related sentiment - US proposed 10-12.5% tariffs on dozens of trade partners
	Our assessment: Neutral – Ongoing US-Iran peace talks vs. renewed Middle East clashes and renewed tariff uncertainty	

US manufacturing sector business confidence and new orders continued to rise amid pick up in defence spending and AI-related investment

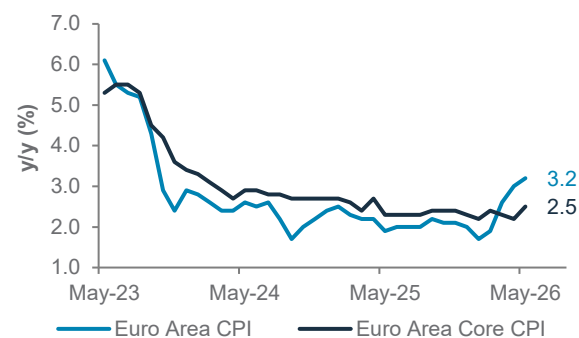
ISM manufacturing PMI and ISM new orders PMI



Source: Bloomberg, Standard Chartered

The acceleration in Euro area headline inflation raises the odds of a 25bps ECB rate hike next week, although still-subdued core inflation reduces the chance of follow-up rate hikes in H2

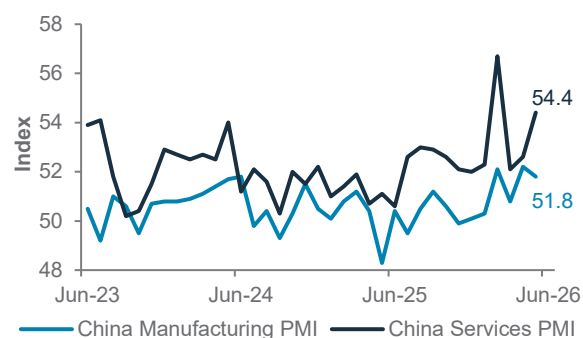
Euro area headline and core consumer inflation



Source: Bloomberg, Standard Chartered

China's manufacturing sector business confidence rebounded amid strong external demand, although services sector confidence remains subdued

China manufacturing vs services PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q Amid tech sector equities' continued outperformance, what fundamental drivers support a broadening trade across the rest of the market?

Our view: *Maintain a diversified equity portfolio; rotate from semiconductors into Internet names within technology.*

Rationale: We remain **structurally positive on AI**, but our **near-term stance has turned more cautious** on stretched positioning following the semiconductor sector rally. Combined US equity positioning is now at extreme levels (over +1.75 std deviations). Historically, this pattern suggests potential drawdowns of around 10% in the SPX Index over the next three months. Furthermore, consensus AI capex assumptions have grown progressively aggressive, leaving the trade vulnerable to any shift in narrative, particularly if **geopolitical risks** or **AI funding concerns** intensify.

Amid this, we advocate broader **equity portfolio diversification**. Within tech, we prefer reducing semiconductor exposure for **Internet names**, where risk-reward appears more attractive. In addition, our **MSCI World Equal Weight opportunistic idea** is supported by lower concentration risk ahead of US mid-term elections (historically a volatile period, with an average peak-to-trough drawdown of 16.3% since 1990) and more exposure to the physical economy and cyclical sectors (e.g., industrials, financials, materials), which should benefit in a soft-landing scenario underpinned by resilient macro data.

— Michelle Kam, CFA, Investment Strategist

Q How should investors position themselves ahead of the mega tech initial public offerings (IPOs)?

Our view: *Reduce US technology concentration risk and broaden exposure.*

Rationale: The US equity market faces a wave of **trillion-dollar listings** that could become the next major catalyst for stocks, reinforcing confidence in AI as a durable, investable theme across the broader technology sector. However, index implications are likely to trigger near-term volatility. As exchanges fast-track inclusion rules, benchmark composition could shift meaningfully. **Rotation effects** are expected to intensify, with more investors trimming existing positions to allocate to new listings. Insiders will also likely reduce their positioning gradually post-listing as lock-up restrictions expire, adding another potential volatility catalyst.

The ongoing upward revisions to AI capex assumptions ahead of the mega IPOs also signal **growing funding challenges**. AI spending is increasingly reliant on debt or equity issuance, which is complex in a mixed macro environment. Our June 2026 **AI Bubble Meter** has also moderated from 'better' to 'good' risk-reward, implying a more limited upside of 0-5% over the next 3-6 months. We continue to favour US technology but prefer to dial down concentration risk.

— Jason Wong, Senior Equity Analyst

The Global Equal Weight Index skews towards cyclicals, supported by resilient macro backdrop

Sector weights across MSCI World and Equal Weight indices

Sector	MSCI World*	MSCI World Equal Weight*
Industrials	11.3%	18.6%
Financials	15.3%	17.7%
Technology	30.7%	14.6%
Discretionary	9.2%	9.0%
Healthcare	8.6%	8.2%
Materials	3.4%	6.7%
Staples	5.0%	6.1%
Utilities	2.5%	5.5%
Communication	8.7%	4.8%
Real estate	1.7%	4.6%
Energy	3.8%	4.3%

*Data as of 29-May-2026

Source: FactSet, Standard Chartered

Our June 2026 AI Bubble Meter has moderated from 'better' to 'good' risk-reward

AI Bubble Meter for June 2026



Source: Standard Chartered

Top client questions (cont'd)

Q Would strong US job openings data alter your outlook on the US 10-year government bond yield?

Our view: *Stronger-than-expected US nonfarm payrolls would likely result in the US 10-year government bond yield retesting May's 4.6-4.7% highs in the short term.*

Rationale: US nonfarm payroll growth has been weak and volatile over the past year, with monthly gains averaging only around 22,000 – consistent with a **stagnating, rather than expanding, labour market** – with job gains in one month often reversed in the next.

Against this backdrop, a positive May payrolls print would mark a third consecutive month of gains, signalling a more hawkish tone for markets. However, the **broader labour picture remains mixed**. April job openings rose sharply to 7.62mn, well above expectations. The quits rate stayed low at 1.9%, suggesting workers remain reluctant to change jobs, which tempers the strength implied by the openings data. In addition, recent payroll gains lack breadth. April hiring was concentrated in transportation and utilities, while several major sectors shed jobs. Unless May hiring is broad-based, the policy signal for the Fed will remain limited. An in-line or softer print would keep yields within our near-term **4.25-4.5%** range.

— Ray Heung, Senior Investment Strategist

Q Would accelerating EU inflation prints alter your view of one 'insurance' hike by the ECB before year-end 2026? What would be the implications for the Euro (EUR)?

Our view: *Our view of one 25bps June ECB hike, followed by a pause, remains. EUR/USD likely to remain within 1.1510-1.1780.*

Rationale: Euro area inflation accelerated further in May, with headline Harmonised Index of Consumer Prices (HICP) rising to 3.2% and core inflation at 2.5%. The broadening price pressures strengthen the case for a **June ECB hike**, but weaker growth signals and softer medium-term expectations argue against a rapid follow-up move. This is reflected in continued negative Economic Surprise Index readings, a contracting Purchasing Managers' Index (PMI) and declining industrial production since the Middle East conflict began. The risk to this **one-hike-and-pause stance** is a prolonged Hormuz strait closure beyond our expected few more weeks, which could spike energy prices and force the inflation-targeting ECB's hand.

EUR/USD is expected to remain within a narrow range. Nonetheless, any Euro strength is likely to be countered by persistent USD resilience. Recent US labour data has reinforced expectations of a **Fed on hold**. Since mid-May, EUR/USD has traded in a tight band, with FX volatility at its lowest since 2020. Near-term direction will hinge on nonfarm payrolls and next week's consumer inflation data, and US-Iran developments. Technically, the pair remains **rangebound with bearish bias** below key moving averages.

— Ray Heung, Senior Investment Strategist

— Iris Yuen, Investment Strategist

A strong US jobs print and a break away from the 'low-hiring, low-firing' mode are conditions likely needed for the US 10-year government bond yield to move sustainably higher

US 10-year government bond yield



Source: Bloomberg, Standard Chartered

Euro area economic data began weakening shortly after the start of the Middle East conflict

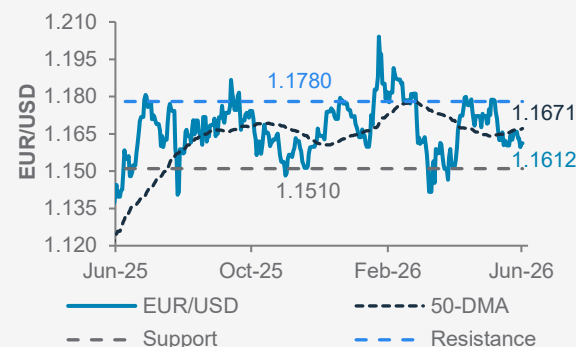
Citi Economic Surprise Index – Euro area



Source: Bloomberg, Standard Chartered

EUR/USD has been hovering around its 50-day moving average (DMA), remaining rangebound

EUR/USD and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How should investors read the ECB's June 2026 report that gold has overtaken US government bonds as the world's largest reserve asset?

Our view: *Gold's rise reflects continued demand for reserve diversification. We expect this structural bid to persist but view any near-term dips in gold towards USD 4,100-4,400/oz as accumulation opportunities.*

Rationale: The ECB's 2 June report marks a notable milestone: at market prices, **gold has overtaken US Treasuries** as the world's largest reserve asset. We do not view this as a break in the global reserve order, but rather a reflection of the combined effect of higher gold prices and sustained central bank purchases over recent years. In our view, the **USD remains core** to the international reserve system.

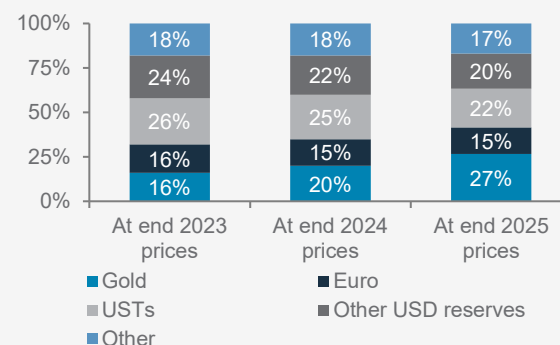
That said, the broader trend in gold demand remains intact. Amid heightened geopolitical fragmentation, sanctions risks and concerns over the long-term US fiscal outlook, gold's appeal as a reserve asset with no sovereign issuer is expected to remain strong. We believe gold's share of global reserves will continue to rise gradually over time, reflecting ongoing **reserve diversification** rather than USD displacement.

Near-term, however, the path may be less linear. Gold is testing a **critical technical level** near USD 4,400/oz (200DMA), risking a breach and a deeper correction towards USD 4,100/oz. We would treat any pullback into this range as an accumulation opportunity.

— **Anthony Naab, CFA**, Investment Strategist

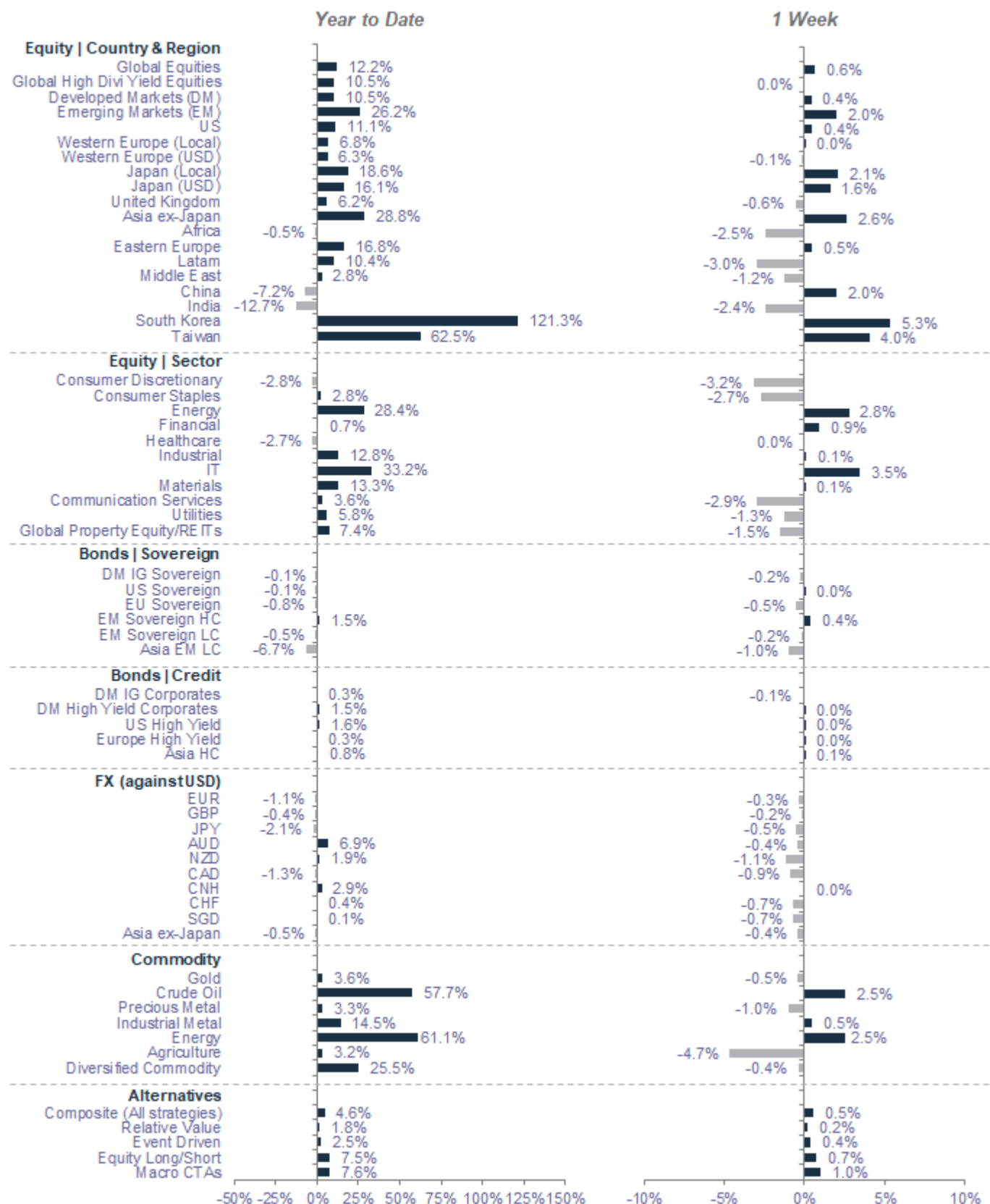
The rising gold price is lifting bullion's share of global official reserves

Share of Euro, US Treasuries and gold in official reserves



Source: The International role of the Euro, ECB, June 2026
Note: Year-end 2025 reserve holdings held constant; gold revalued at end-period LBMA PM Fix for each year shown

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 4 Jun 2026; 1-week period: 28 May 2026 to 4 Jun 2026

Our 12-month asset class views at a glance

Asset class					
Equities			Preferred Sectors		
US	▲		US Technology	▲	
Europe ex-UK	◆		US Communication	▲	
UK	▼		US Healthcare	▲	
Asia ex-Japan	◆		Europe ex-UK Financials	▲	
Japan	◆		China Communication	▲	
Other EM	◆		China Technology	▲	
			China Healthcare	▲	
Bonds					
	◆		Govt		
Credit			Govt EM Local	▲	
Asia USD	◆		Govt DM IG	▼	
Corp DM HY	◆		Alternatives		
Govt EM USD	▲			◆	
Corp DM IG	◆		Gold		
				▲	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,726

Technical indicators for key markets as of 4 Jun close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,584	7,338	7,726	21.0	1.2
STOXX 50	6,103	5,860	6,246	15.3	3.1
FTSE 100	10,360	10,155	10,561	12.7	3.5
TOPIX	3,952	3,802	4,059	16.9	2.3
Shanghai Comp	4,058	3,974	4,200	13.7	3.0
Hang Seng	25,253	24,372	26,490	10.7	3.5
Nifty 50	23,417	22,885	24,215	18.0	1.8
MSCI Asia ex-Japan	1,170	1,094	1,222	12.9	2.0
MSCI EM	1,759	1,655	1,831	12.2	2.3
Crude oil (WTI)	93.0	83.1	106.2	na	na
Gold	4,475	4,303	4,710	na	na
UST 10Y Yield	4.47	4.30	4.67	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	EC	Sentix Investor Confidence	Jun	–	-16.4
	US	NFIB Small Business Optimism	May	–	95.9
TUE	CH	Exports y/y	May	–	14.1%
	CH	Imports y/y	May	–	25.3%
	CH	Trade Balance	May	–	\$84.82b
WED	CH	PPI y/y	May	–	2.8%
	CH	CPI y/y	May	–	1.2%
	US	CPI y/y	May	4.2%	3.8%
	US	Core CPI y/y	May	3.0%	2.8%
THU	EC	ECB Deposit Facility Rate	11-Jun	–	2.0%
	EC	ECB Main Refinancing Rate	11-Jun	–	2.2%
	US	Initial Jobless Claims	6-Jun	–	–
	US	Continuing Claims	30-May	–	–
	US	PPI Final Demand y/y	May	–	6.0%
	US	PPI Ex Food & Energy y/y	May	–	5.2%
FRI/SAT	US	U. of Mich. Sentiment	Jun P	47.0	44.8
	US	U. of Mich. Expectations	Jun P	–	44.1
	US	U. of Mich. 1y Inflation	Jun P	–	4.8%
	US	U. of Mich. 5-10y Inflation	Jun P	–	3.9%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 4 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	1.96
Global Equities	○	↓	1.37
Gold	○	↓	1.42
Equity			
MSCI US	○	↓	1.35
MSCI Europe	●	↓	1.65
MSCI AC AXJ	○	↓	1.39
Fixed Income			
DM Corp Bond	●	↑	2.40
DM High Yield	●	→	1.69
EM USD	●	↑	1.88
EM Local	●	↓	1.79
Asia USD	●	↑	2.58
Currencies			
EUR/USD	●	↑	2.58

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ○ Low to mid | ○ Critically low

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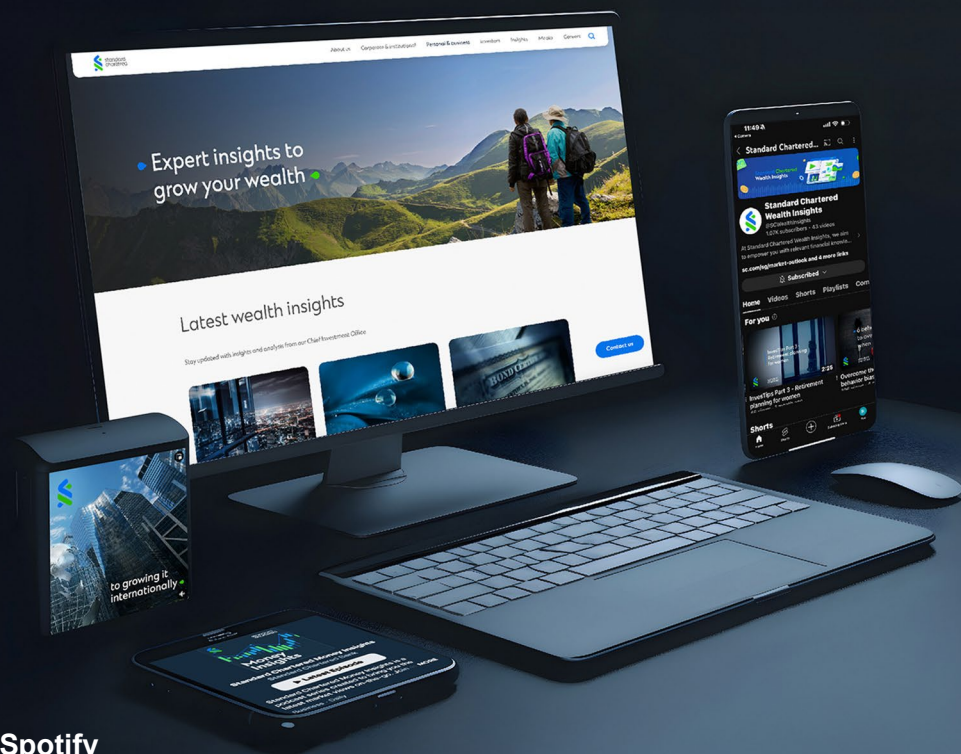
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Weekly Market View

All eyes on Hormuz talks

→ Equity and bond markets continue to show a high correlation with oil prices and the direction of US-Iran talks. Media reports suggest an imminent breakthrough in negotiations.

→ Meanwhile, US inflation is re-accelerating at its fastest pace since the post-COVID spike in 2021, after having remained above the Fed's 2% target since that rise. However, spillovers beyond energy-related costs remain limited, which should keep the Fed on hold in the coming months.

→ Although strong corporate earnings support risk assets over the medium term, uncertainty around the resumption of Hormuz strait shipping, pockets of investor exuberance and stretched investor positioning call for a more diversified allocation.

→ Meanwhile, bond yields have pulled back sharply over the past week, especially in the Euro area, where economic data continue to miss expectations. We expect Bunds to outperform US and Japanese government bonds.

Overweight China equities:
relatively insulated from
geopolitical, inflation pressures

Positive on Bunds, high-quality
European credit: ECB rate
hikes already discounted

Bullish NZD/USD: hawkish
RBNZ favours further rate
hikes

Charts of the week: Watching inflation and bond yields

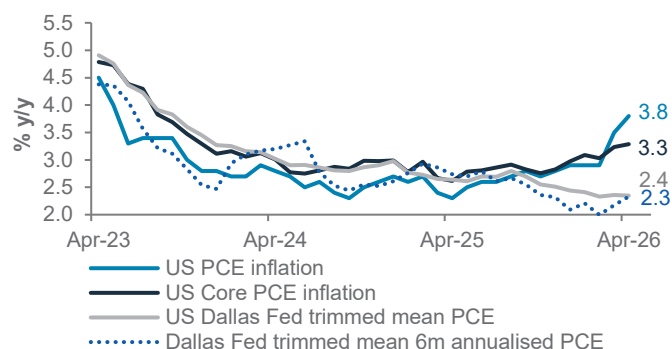
US bond yields have historically pulled back after a spike over a 3-month period; US PCE inflation lost momentum in April

3m forward return in US 10y yield and S&P500 and USD indices*

Period	Yield change	3-month forward change		
		Yield	S&P 500	DXY
Aug-16 to Nov-16	80.1	0.9	7.5%	-0.4%
Sep-16 to Dec-16	85.0	-5.7	5.5%	-1.8%
Dec-20 to Mar-21	82.7	-27.2	8.2%	-0.9%
Dec-21 to Mar-22	82.8	67.5	-16.4%	6.5%
Jan-22 to Apr-22	115.7	-28.5	0.0%	2.9%
Feb-22 to May-22	101.9	34.9	-4.3%	6.8%
Jun-22 to Sep-22	81.6	4.6	7.1%	-7.7%
Jul-22 to Oct-22	139.9	-54.1	5.3%	-8.5%
Jun-23 to Sep-23	73.4	-69.2	11.2%	-4.6%
Jul-23 to Oct-23	97.2	-101.8	15.5%	-3.2%
Jan-24 to Apr-24	76.7	-65.0	9.7%	-2.0%
Sep-24 to Dec-24	78.8	-36.4	-4.6%	-3.9%
28-Feb to 19-May	72.9			
Median		-27.9	6.3%	-1.9%
Average		-23.3	3.7%	-1.4%

Source: Bloomberg, Standard Chartered; *the table shows 3m forward change after a +70bps spike in US 10yr bond yield over a 3m period

US PCE inflation; Dallas Fed trimmed mean PCE inflation



Editorial

All eyes on Hormuz talks

Strategy summary: Equity and bond markets continue to show a high correlation with oil prices and the direction of US-Iran talks. Media reports suggest an imminent breakthrough in negotiations. Meanwhile, US inflation is re-accelerating at its fastest pace since the post-COVID spike in 2021, after having remained above the Fed's 2% target since that rise. However, spillovers beyond energy-related costs remain limited, which should keep the Fed on hold in the coming months.

Although strong corporate earnings support risk assets over the medium term, uncertainty around the resumption of shipping through the Hormuz strait, pockets of investor exuberance, especially in semiconductor-related sectors, and stretched investor positioning call for a more diversified allocation. We remain broadly diversified across regions, with a slight preference for US equities. Meanwhile, bond yields have pulled back sharply over the past week, especially in the Euro area, where economic data continue to miss expectations. We expect Bunds to outperform US and Japanese government bonds.

Hormuz talks driving markets. Oil prices and US and European bond yields pulled back sharply this week after US official comments suggested a resolution to the Middle East conflict is close. However, the resumption of US strikes on military targets in Iran reflects significant pressure on President Trump from Republicans to continue with the conflict. With peak summer travel season approaching and global oil inventories tightening, a resumption in bond and equity market volatility may be a necessary condition for the two sides to reach an agreement to restart Hormuz strait shipping.

Stretched equity market positioning argue for less portfolio concentration. US equity market investor positioning is stretched and pockets of equity markets, especially those related to semiconductors, are showing signs of exuberance. Our AI bubble meter reading for the month of June 2026 moved down from "better" to "good" risk-reward outlook for equities. This implies only 0-5% upside for the AI theme on a 3-6-month basis. Against this backdrop, we believe it would be prudent to

right-size AI-related exposure and broaden equity portfolios across sectors and regions that will benefit from AI adoption.

Fed to stay on hold as inflation not broadening yet. US personal consumption expenditure (PCE)-based inflation lost monthly momentum, despite reaching a three-year high year-on-year. Inflation was driven mainly by energy and IT-related goods, with minimal spillover thus far. Energy inflation caused the third consecutive decline in real disposable income. Robust stock markets and tax refunds have supported spending this year, but the savings rate hit a historic low, leaving little buffer for further spending. The Fed is likely to hold rates unless long-term inflation expectations shift. A restart of Hormuz shipping this summer (our base case) should ease inflation, enabling the Fed to cut rates later this year. A prolonged blockade is a risk, which could broaden inflation, leading to potential Fed rate hikes.

Bond yields fail to break higher. US and European bond yields have pulled back over the past week as oil prices fell amid hopes of a Middle East truce. As the table above shows, over the past decade, a 70bps or more spike in the US 10-year government bond yield over a three-month period was usually followed by a pullback in the yield over the next three months. While stocks gained from the yield pullback, the USD weakened on average.

Opportunities in European bonds. Euro area data has significantly missed expectations since the start of the conflict, diverging from the US, as higher energy costs erode household disposable incomes and impact consumer and business confidence. However, markets have priced in a hawkish ECB rate path, with 2-3 rate hikes expected this year, with the ECB prioritising fighting inflation risks. While the ECB has signalled a June rate hike is highly likely, we doubt it will be able to deliver another hike beyond June as growth slumps and labour market slack increases. Against this backdrop, we see attractive value in high quality European bonds, including longer-tenor bunds and high-quality defensive sector credit.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

(+) factors: Strong economic sentiment indicators in the US and Euro area; US-Iran truce optimism

(-) factors: US-Iran, Lebanon ceasefires strained; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	- US leading index rose above estimates by 0.1% - US Conf. board consumer confidence & expectations indices beat estimates - US durable goods orders grew by 7.9% y/y - German IFO business expectations and climate index beat estimates - China industrial profits rose by 24.7% y/y in April	US personal income growth came in below estimates in April
	Our assessment: Positive – Strong economic sentiment indicators in the US and Euro area	
Policy developments	- Fed's Goolsbee, Kashkari and Cook more hawkish on energy-driven inflation - ECB's Schnabel hinted June rate hike needed - BoJ's Ueda hinted a more prolonged hawkish stance - RBNZ held rate unchanged as expected and signalled rate hikes could begin in July 2026	
	Our assessment: Negative – Hawkish central banks	
Other developments	- The US and Iran are engaged in active, but fragile peace talks; commercial shipping via the Strait of Hormuz showed signs of recovery - The US and China agreed to establish the Board of Trade to negotiate reciprocal tariff reductions	- US carried out renewed strikes on Iran's military targets - Israel has aggressively escalated its military campaign in Lebanon
	Our assessment: Neutral – Ongoing US-Iran peace talks vs. renewed military strikes in Iran, Lebanon	

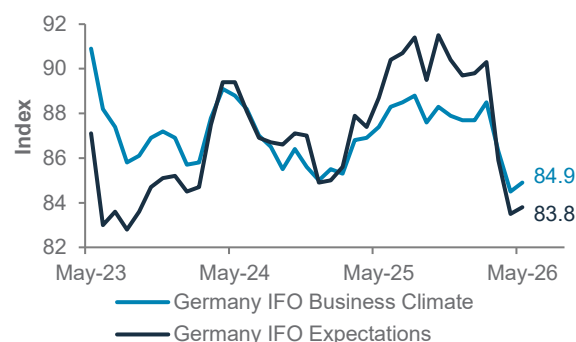
US leading index and consumer confidence expectations beat estimates, reflecting a short-term sentiment boost

US leading index and Conference Board consumer confidence expectations index



German IFO business climate and expectations indices both stabilised in May, after a sharp decline in the previous two months

Germany IFO business climate and expectation indices



China's industrial profits marked the fastest monthly growth since November 2023, buoyed by stronger exports

China's industrial profits



Top client questions

Might the latest US personal consumption expenditures (PCE) report increase hawkish pressure on the Fed?

Our view: *The in-line PCE inflation print validates the impact of higher energy prices, but does not spur a hawkish Fed pivot.*

Rationale: The 3.8% y/y headline PCE reading has risen a full percentage point since February, the sharpest two-month rise since late 2021, driven primarily by the Middle East conflict and higher energy prices. The Fed held policy rates in April and hinted it will wait for more data before its next move. With energy driving the bulk of the overshoot and medium-term inflation expectations still relatively contained, policymakers can frame the print as consistent with their adverse scenario rather than a crisis requiring immediate action.

The market-implied policy rate has yet to move to reflect a definite hike by December 2026, reinforcing the Fed's 'wait-and see' approach. We believe the Fed will retain optionality in the near term, ie, it can maintain its pause posture while signalling readiness to act, without being forced into an emergency response. Our base case remains that oil prices will gradually go lower as the conflict is resolved within a few weeks. Together with an anticipated weaker US job market, our base case remains for the Fed to cut once before year-end 2026. This, of course, assumes a Hormuz strait re-opening in the coming weeks, but should our second scenario of a prolonged stalemate persist into H2 2026, the Fed may find it difficult to cut.

— Ray Heung, Senior Investment Strategist

What is your view on China equities after the recent underperformance and regulatory changes?

Our view: *We remain Overweight China equities within Asia ex-Japan (AxJ), with the Hang Seng Technology Index (HSTECH) likely supported by long-term structural tailwinds.*

Rationale: The MSCI China Index has lagged AxJ since May, reflecting limited participation in the Emerging Market (EM) rebound following the US-China tariff truce and softer April data. China's regulatory crackdown on cross-border trading has raised capital flow restriction concerns, but market impact has been modest.

The scrutiny reflects policy normalisation continuation rather than a directional shift. Meanwhile, steady southbound net inflows indicate solid mainland investor conviction in Hong Kong-listed equities. We remain Overweight China equities, supported by ongoing policy support and relative insulation from geopolitical and inflationary pressures. While recent weakness in HSTECH reflects margin pressure from offshore-dominated internet and hardware platforms, we remain constructive longer-term, underpinned by policy tailwinds and ongoing technological innovations. New AI and semiconductor names in HSTECH also help it benefit from AI infra investment.

— Michelle Kam, CFA, Investment Strategist

The market has not fully priced in even one rate hike despite the elevated inflation print

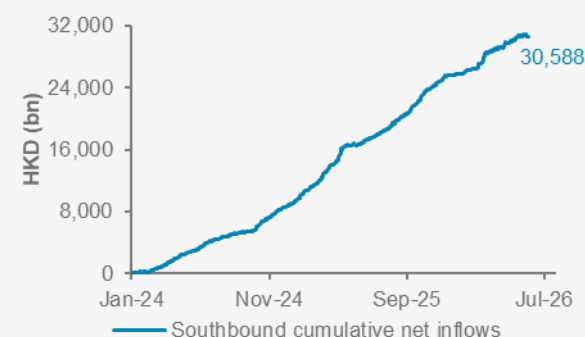
Market-implied number of Fed funds rate cuts/hikes by December 2026



Source: Bloomberg, Standard Chartered

Southbound net inflows are steady despite regulatory changes on cross-border brokers

Cumulative southbound net inflows (HKD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Is the Euro area moving towards stagflation? Is a European Central Bank (ECB) June rate hike already priced into Bund yields, and what are the investment implications?

Our view: We believe a hawkish ECB rate path is already discounted through Q3 2026. We turn more positive on Bunds and prefer high-quality defensive credit exposure.

Rationale: Recent Euro area consumer inflation data points to a stagflationary impulse, though not yet a full stagflation regime. The sharp April energy price rise, driven by Hormuz strait closure, reflects an external supply shock rather than broad-based domestic inflation, as core inflation eased to 2.2%. Meanwhile, **growth momentum has weakened materially**. Q1 2026 GDP rose just 0.1% q/q, and the European Commission has cut its 2026 forecast. This mix of softer growth and energy-driven inflation leaves the ECB in a difficult position, but does not yet signal entrenched wage-price dynamics.

We believe there is limited upside in Bund yields in the Euro area. Markets have already priced in a fairly hawkish ECB path, including a 25bps hike as early as June and another by Q3 2026-end, which is ahead of our expectations (we believe it would likely only be able to hike once in June). The hurdle for a further meaningful spike in Bund yields is, therefore, relatively high, unless the ECB delivers a distinctly hawkish message via forward guidance or balance sheet policy. Moreover, a June hike alone is unlikely to be enough to drive sustained currency upside if already discounted.

Investment strategy: We turn more positive on Bunds and expect them to outperform US and Japanese government bonds. EUR-denominated credit spreads could widen in a weakening growth environment, so we prefer high-quality defensive credit exposure to weather recessionary impulse, particularly the European financials, given their solid fundamentals.

— Cedric Lam, Senior Investment Strategist

Q What is your outlook for the New Zealand dollar (NZD) after the latest Reserve Bank of New Zealand (RBNZ) policy meeting?

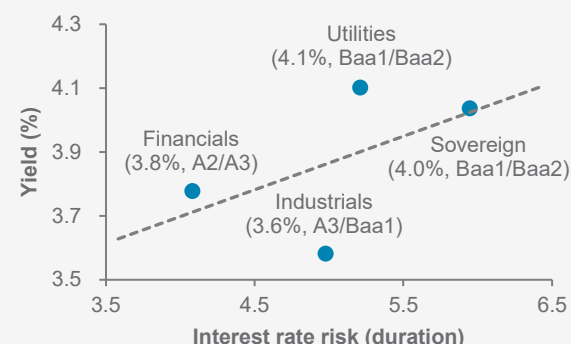
Our view: We are bullish on NZD/USD, with upside potential supported by a hawkish RBNZ and market expectations favouring further rate hikes. Immediate resistance is at 0.60.

Rationale: The RBNZ has adopted a distinctly hawkish tone, keeping the **official cash rate (OCR) unchanged at 2.25%** in a split decision, but signalling its intention to implement at least two additional 25bps hikes by year-end 2026. This clear commitment to tightening monetary policy, coupled with market pricing that now reflects a total of 110bps in rate increases with a terminal rate forecasted at 3.25% by 2027, provides **strong support to the NZD**.

Beyond policy signals, the RBNZ is firmly focused on addressing inflation risks, particularly those driven by rising fuel prices, even as

Financial bonds offer attractive risk-reward balance among major EUR-denominated bonds

Bloomberg Pan-Euro Agg Indices (by sectors)



Source: Bloomberg, Standard Chartered

Hawkish RBNZ supports a bullish NZD

NZD/USD and technical levels

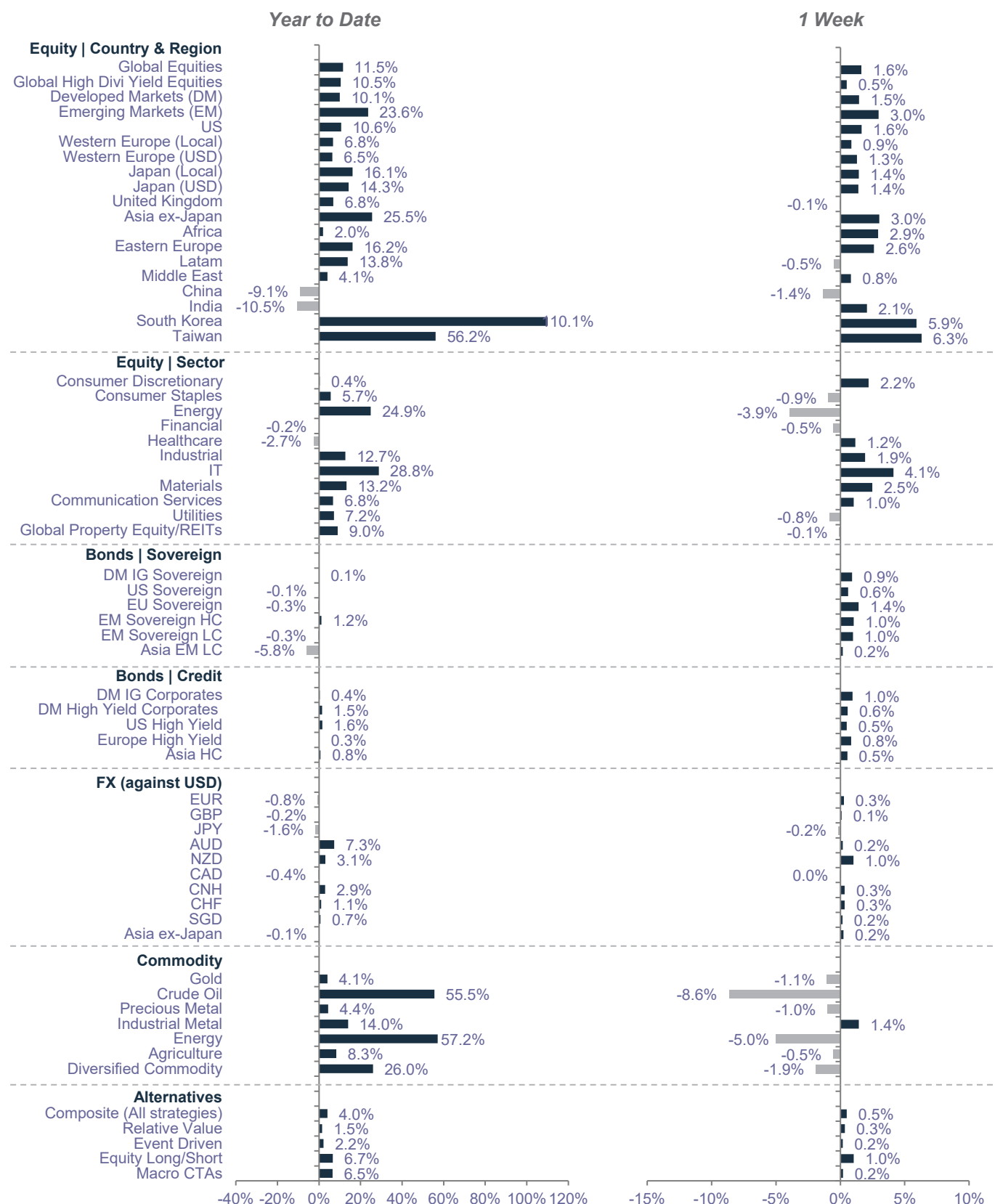


Source: Bloomberg, Standard Chartered

it recognises the potential downside for consumer spending and business sentiment. Projections from the central bank suggest a widening output gap and persistently elevated unemployment; yet, the **policy rate is poised to rise further** despite a subdued labour market. The RBNZ prioritises price stability over short-term economic softness. **Key risk to our view:** A hawkish Fed repricing.

— **Iris Yuen**, *Investment Strategist*

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 29 May 2026; 1-week period: 21 May 2026 to 29 May 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ◆	Europe ex-UK Financials ▲
Japan ◆	China Communication ▲
Other EM ◆	China Technology ▲
	China Healthcare ▲
Bonds ◆	
Credit	Alternatives ◆
Asia USD ◆	
Corp DM HY ◆	Gold ▲
Govt EM USD ▲	
Corp DM IG ◆	
Govt	
Govt EM Local ▲	
Govt DM IG ▼	

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,719

Technical indicators for key markets as of 28 May close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,564	7,258	7,719	21.1	1.2
STOXX 50	6,055	5,820	6,217	15.3	3.1
FTSE 100	10,426	10,199	10,605	12.8	3.5
TOPIX	3,902	3,739	4,019	16.9	2.3
Shanghai Comp	4,099	4,017	4,220	13.8	2.9
Hang Seng	25,006	24,207	26,325	10.6	3.5
Nifty 50	23,907	23,286	24,505	18.4	1.8
MSCI Asia ex-Japan	1,140	1,066	1,190	12.6	2.0
MSCI EM	1,725	1,626	1,792	11.9	2.4
Crude oil (WTI)	88.9	80.4	104.2	na	na
Gold	4,495	4,317	4,724	na	na
UST 10Y Yield	4.45	4.28	4.65	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	EUR	Unemployment Rate	Apr	–	6.2%
	USD	ISM Manufacturing	May	53.2	52.7
	USD	ISM New Orders	May	–	54.1
TUE	EUR	CPI y/y	May P	3.2%	3.0%
	EUR	CPI Core y/y	May P	–	2.2%
	USD	JOLTS Job Openings	Apr	6866k	6866k
WED	AUD	GDP y/y	1Q	–	2.6%
	EUR	PPI y/y	Apr	–	2.1%
	USD	ADP Employment Change	May	110k	109k
	USD	ISM Services Index	May	53.8	53.6
THU	USD	Fed Releases Beige Book	–	–	–
	USD	Initial Jobless Claims	30-May	–	–
	USD	Continuing Claims	23-May	–	–
FRI/SAT	USD	Change in Nonfarm Payrolls	May	95k	115k
	USD	Unemployment Rate	May	4.3%	4.3%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 28 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.70
Global Equities	●	↓	1.49
Gold	●	↓	1.41
Equity			
MSCI US	●	↓	1.39
MSCI Europe	●	→	1.77
MSCI AC AXJ	●	→	1.59
Fixed Income			
DM Corp Bond	●	↓	1.87
DM High Yield	●	→	1.87
EM USD	●	↑	2.00
EM Local	●	↓	1.54
Asia USD	●	→	1.83
Currencies			
EUR/USD	●	→	1.61

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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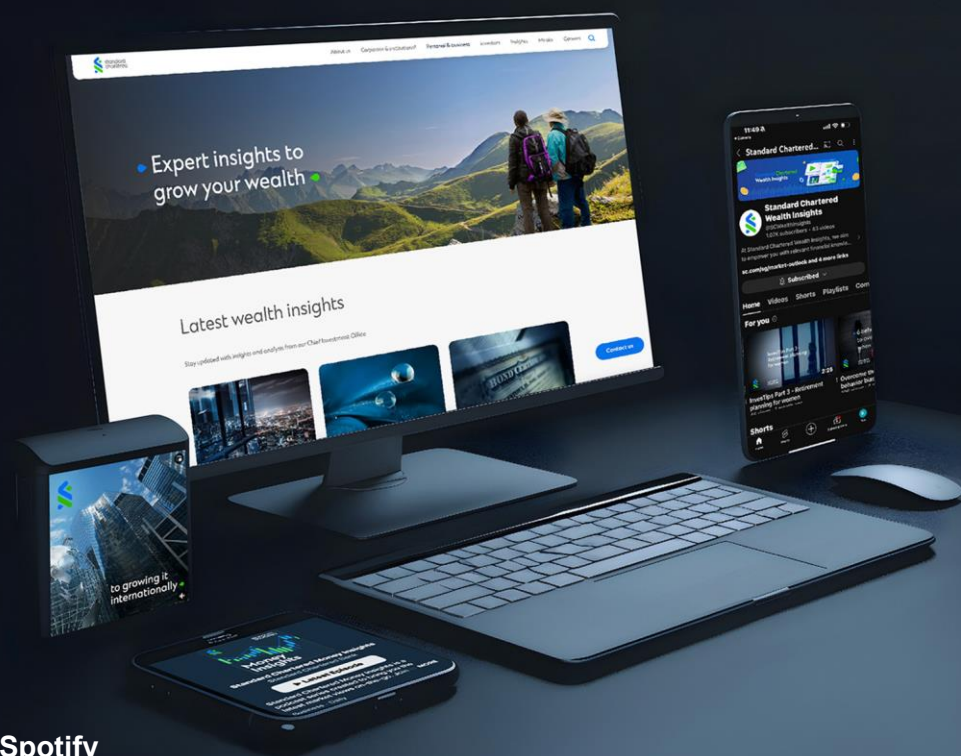
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